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Overview of the Fiduciary Standards

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GCF Fiduciary Standards

In the context of the GCF, fiduciary standards are about financial integrity, risk management, ethical conduct, and accountability in the use of GCF resources.

They ensure that:

- GCF funds are used efficiently and for their intended purposes
- Implementing entities are capable of financial management, procurement, and oversight
- Risks of misuse, fraud, and corruption are minimized
- There is transparency and reporting throughout the funding lifecycle





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Core Principles of GCF Fiduciary Standards

Transparency



Accountability



Efficiency and
effectiveness



Integrity





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Basic Fiduciary Standards (BFS)

**Financial
Management and
Accounting**

Auditing

Control Framework

Procurement

**Code of Ethics and
Conflict and
Conflict of
Interest Policies**



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Specialized Fiduciary Standards (SFS)

**Project/Programme
Manager**

**Grant Award and/or
Funding Allocating
Mechanisms**

**On-lending and/or
Blending**



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Overview of the GCFs Environmental and Social Policy

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What are Safeguards?

“Safeguards” are policies and procedures designed to ensure that funded projects:

- Have minimal to no adverse impacts on ecosystems and ecosystem services;
- Do not cause unnecessary and unfair impacts on people (including resettlement, indigenous people, women, PWDs, trafficking);
- Do not negatively impact cultural resources;
- Do not utilize unfair labor practices (child labor; anti-union)

All financiers have safeguards policies; many organization do as well

Environmental and social aspects considered part of risk management





GCF's Sustainability Policies

Environmental and Social Policy

GCF's Environmental and
Social Management
System (ESMS)

Indigenous Peoples Policy

Gender Policy



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Environmental and Social Policy

GCF manages environmental and social risks to enhance positive outcomes in all financed activities.

A structured system of processes enables GCF to:

- Identify, avoid, and mitigate environmental and social impacts
- Maximize environmental and social benefits
- Improve performance consistently

The Environmental and Social Policy outlines GCF's commitment to integrate safeguards into decision-making and operations and communicate these commitments clearly to stakeholders

All GCF-funded activities must:

- Enhance equitable access to benefits
- Consider impacts on vulnerable populations (e.g., women, children, persons with disabilities, indigenous peoples, and others)





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Environmental and Social Policy

Important Definitions from the GCF Environmental and Social Policy:

Environmental and social safeguards (ESS): a set of standards that specify objectives and the specific requirements to achieve these objectives through means that are appropriate to the nature and scale of the project and commensurate with the level of environmental and social risks and/or impacts (“risk category”).

Environmental and social impacts: refer to any adverse change, potential, perceived or actual, to: (i) the physical, natural, or cultural environment, and (ii) impacts on surrounding community and workers, resulting from the activities to be supported;

Environmental and social risk: a combination of the probability of certain hazard occurrences and the severity of impacts resulting from such an occurrence;



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GCF Projects Risk Categories

	 High Risk (A/I-1)	 Moderate Risk (B/I-2)	 Low Risk (C/I-3)
Potential Impacts	Significant, irreversible, diverse, unprecedented	Less adverse, site-specific, reversible	Minimal to no adverse impacts
Assessment Needs	Comprehensive impact assessments	Focused assessments	Screening
Management Needs	Management plans or frameworks	Management plans or frameworks	Management plan, if needed
Stakeholder Engagement	Extensive	Standard	Standard
Grievance Mechanisms	Robust	Standard	Standard



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GCF Projects ESMS

Environmental and social management system (ESMS): a set of management processes and procedures that allow an organization to identify, analyze, control and reduce the environmental and social impacts of its activities, in a consistent way and to improve performance in this regard over time. The ESMS will include the following instruments (dependent of risk categorization):

- Environmental and Social Impact assessment (ESIA);
- Environmental and Social Management Framework (ESMF);
- Environmental and Social Management Plans (ESMP);
- ESS compliance monitoring and reporting;
- Monitoring and evaluation of ESMS effectiveness; and
- Stakeholder communication and consultation strategies; and
- Grievance Redress Mechanism (GRM).



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Overview of the GCF Gender Policy

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GCF Gender Policy

Climate change impacts affect women and men differently

Mainstreaming gender considerations into climate projects is required by major financiers

GCF was the first climate finance mechanism to mainstream gender perspectives from the beginning of its operations – it is embedded in the GCF's Governing Instrument

Gender is an essential decision-making element for the deployment of its resources and gender equality considerations should be mainstreamed into the entire project cycle



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GCF Gender Policy

GCF Gender Policy was adopted in 2015 and updated in 2019

The Gender policy considers, respects and values the contribution of women and men

The policy outlines the requirements for gender related documentation during project planning, preparation, and development stages

All GCF Funding Proposals must include:

- Gender Assessment
- Gender Action Plan





GCF Gender Assessments and Gender Action Plans

Project gender assessment and action plans:

- Collect baseline data and determine how the project can respond to the needs and strategic interests of women and men in view of the specific climate change issue to be addressed
- Identify the drivers of change and the gender dynamics to achieve the project adaptation and mitigation goals
- Identify and design the specific gender elements to be included in the project activities
- Estimate the implementation budgets
- Select appropriate and measurable output, outcome and impact indicators
- Design project implementation and monitoring institutional arrangements (GAP)



Gender Considerations in the FP and Annexes

Outside of the Gender Assessment and Action Plan, FPs and Annexes should also report gender considerations throughout the following documents:

- Funding proposals
 - Gender disaggregated indicators
 - Logframe/ project description
 - ToC barriers
 - Co-benefits
 - Sustainable development
 - Needs of the recipient
 - Country ownership
- ESS documentation:
 - Exclusion, SEAH risks and mitigation
- Summaries of stakeholder engagements and stakeholder engagement plans should include inclusive stakeholder engagement mechanisms
- Monitoring and Evaluation
 - Gender responsive indicators



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Overview of the GCF Indigenous Policy

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GCF's Indigenous Peoples Policy

- Indigenous Peoples are unique and distinct stakeholders with critical roles in climate action
- They contribute invaluable traditional knowledge to climate change mitigation and adaptation
 - They also face threats from lack action on climate change
- International agreements and human rights instruments affirm their rights and call for their inclusion
- Past climate interventions have sometimes excluded Indigenous Peoples, leading to inequitable or harmful outcomes
- Inclusion ensures respect for rights, equity in benefit-sharing, and culturally appropriate implementation.



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GCF's Indigenous Peoples Policy

The GCF's Indigenous People's Policy:

- Recognizes Indigenous Peoples' distinct identities, rights, and vulnerabilities
- Aims to protect rights, avoid harm, and ensure meaningful consultation and benefit-sharing
- Applies across all GCF-financed strategies and activities
- Establishes the Indigenous Peoples Advisory Group (IPAG) to coordinate and advise on Indigenous engagement
- Integrates safeguards and equity into project design, implementation, and governance.



GCF's Independent Redress Mechanism (IRM)

- When allegations of environmental and social harm are raised in association with GCF activities, it is possible for affected parties to contact the Independent Redress Mechanism (IRM)
- The IRM operates outside of the GCF Secretariat and reports directly to the GCF Board
- The IRM responds to complaints by people who feel they have been adversely affected, or may be affected, by GCF projects, including issues related to GCF's environmental and social safeguards
- The IRM helps project-affected people by facilitating dispute resolution processes to seek joint solutions, or by conducting independent compliance investigations and recommending redress where appropriate
- Complainants can approach the IRM confidentially if necessary
- All GCF-financed activities are required to establish a grievance redress mechanism at the project level to address any project related concerns



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Overview of the GCF Procurement Policy

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Purpose of a procurement plan

- Ensures transparency and fair money in project spending
- Mitigates procurement risks
- Provides accountability to the GCF and stakeholders
- Serves as a monitoring system in selecting suppliers and contractors
- Promotes value for money during implementation

(Name of Entity)

Procurement Plan

I. General

1. **Project information:** (name of project, country, Project)

2. **Version of the Plan:** Version 1.0 dated _____

3. **Approval Date of the procurement Plan:**

4. **Date of General Procurement Notice:**

5. **Period covered by this procurement plan:**

6. **Other Arrangements:** (Example: The project will provide grants to Government, Civil Society, Private sector and regional organizations. The Accredited Entity's approved Procurement and Consultant Guidelines reviewed and accepted by the Fund will apply under these grants. Procurement will be carried out by Grant Recipients themselves and procurement plan will be agreed between the AE and Grant Recipient)

II. Goods, Works and non-consulting services.

1. **Prior Review Threshold:** Procurement Decisions subject to Prior Review by the AE

	Procurement Method	Threshold for use of method	Prior Review Threshold	Comment
1.				
2.				
3.				
4.				
5.				

1 | Page



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What is a procurement plan at GCF?

It is both a planning and monitoring tool, ensuring that all procurement activities are carried out efficiently, transparently, and in accordance with GCF policies and international best practices.



Details what will be procured during the project



Specified procurement methods



Defines the timing of procurement activities



Monitoring and evaluation are mechanisms of accountability



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Overview of the GCF Monitoring and Evaluation Policy

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What do we mean by Monitoring & Evaluation?

Monitoring

Systematic collection of information to determine if activities are implemented as intended.

Evaluation

Periodic, retrospective assessment of a project that might be conducted internally or by external independent evaluators.





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Why do Monitoring & Evaluation?



Monitoring helps to determine if intended results are being achieved as planned



Climate and sustainable development initiatives must be evaluated to determine their effectiveness



Effectiveness may not be apparent after a few months [or years!], monitoring is essential



Monitoring and evaluation are mechanisms of accountability



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Monitoring vs. Evaluation

Monitoring

- Ongoing, continuous
- Focuses on project activities
- Provides continuous feedback to improve performance
- Responsibility of project or program management

Evaluation

- Time bound, often after project completion
- Internal, external, or participatory
- Provides feedback and judgments about success, effectiveness, etc.
- Responsibility of evaluator together with staff or management



Complementary Activities

Monitoring

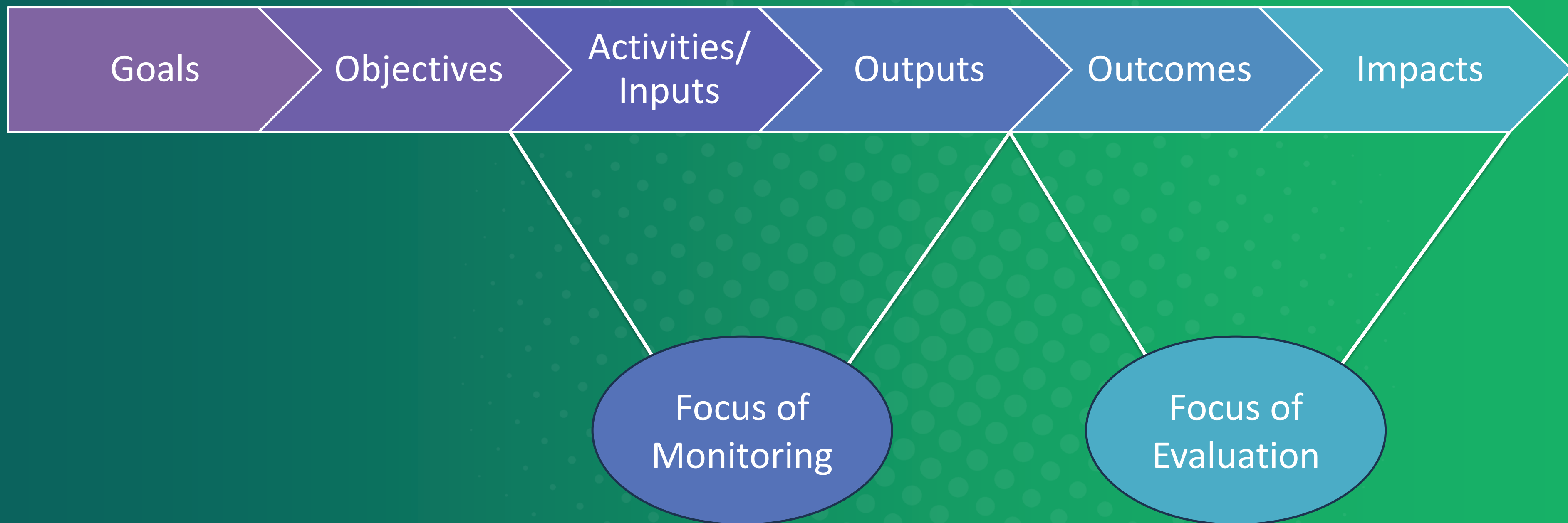
- Clarifies project objectives
- Links project activities and resources to objectives
- Translates objectives into performance indicators
- Routinely collects data on those indicators and compares actual results with targets
- Reports progress to managers and alerts them to problems

Evaluation

- Analyzes why intended results were or were not achieved
- Examines implementation processes
- Tests assumptions about causal processes and analyzes results of project
- Highlights accomplishments and offers recommendations
- Explores unintended results



M&E Focus in projects





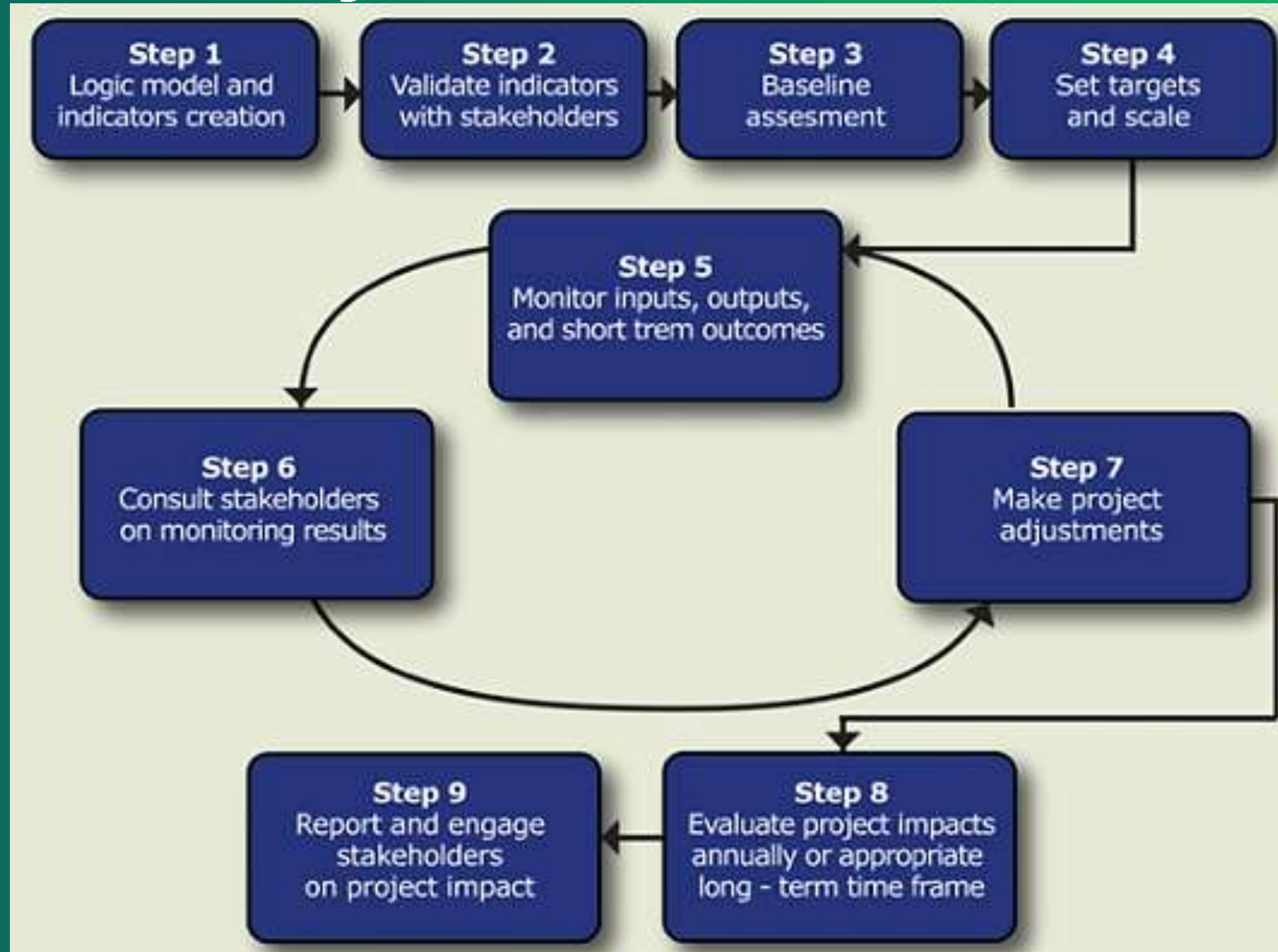
Steps to Developing an M&E system for a project

- 1 Formulate goal and outcomes**
- 2 Select outcome indicators to monitor**
- 3 Gather baseline information on the current condition**
- 4 Set specific targets to reach and dates for reaching them**
- 5 Regularly collect data to assess whether the targets are being met**
- 6 Analyze and report the results**



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Steps to Developing an M&E system for a project.. Alternate steps





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Keys to Effective Monitoring

Identify the
right
questions to
ask about
activities

Identify
indicators
likely to
convey
useful
information

Design
effective
data-
collection
procedures

Collection,
storage, and
dissemination
is accessible



Key elements in Developing a M&E Framework

Activities,
Outputs, and
Outcomes

Indicators

Baseline Value

Targets

Data Collection
Methods



What to account for when planning for M&E

Responsibilities: Who is responsible for organizing data collection and verifying data quality and sources?

Resources: Estimate of resources required and committed for carrying out planning and monitoring activities

Risks: What risks might be encountered in carrying out the planned monitoring activities? How might these risks affect the planned monitoring events and quality of data?



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Reporting requirements

Projects generally have periodic reporting requirements:
Monthly, quarterly, semi-annually, annually

Reporting should use consistent formatting and reference indicators

*GCF requires annual performance reports, a mid-term evaluation, and a final evaluation



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Developing Indicators

Good indicators should help reveal the quality and effectiveness of project implementation

Should be valid indicator of output, outcome or impact

Should be relatively easy to gather and maintain

Should be easy to communicate

Should make sense to key stakeholders

SMART Objectives

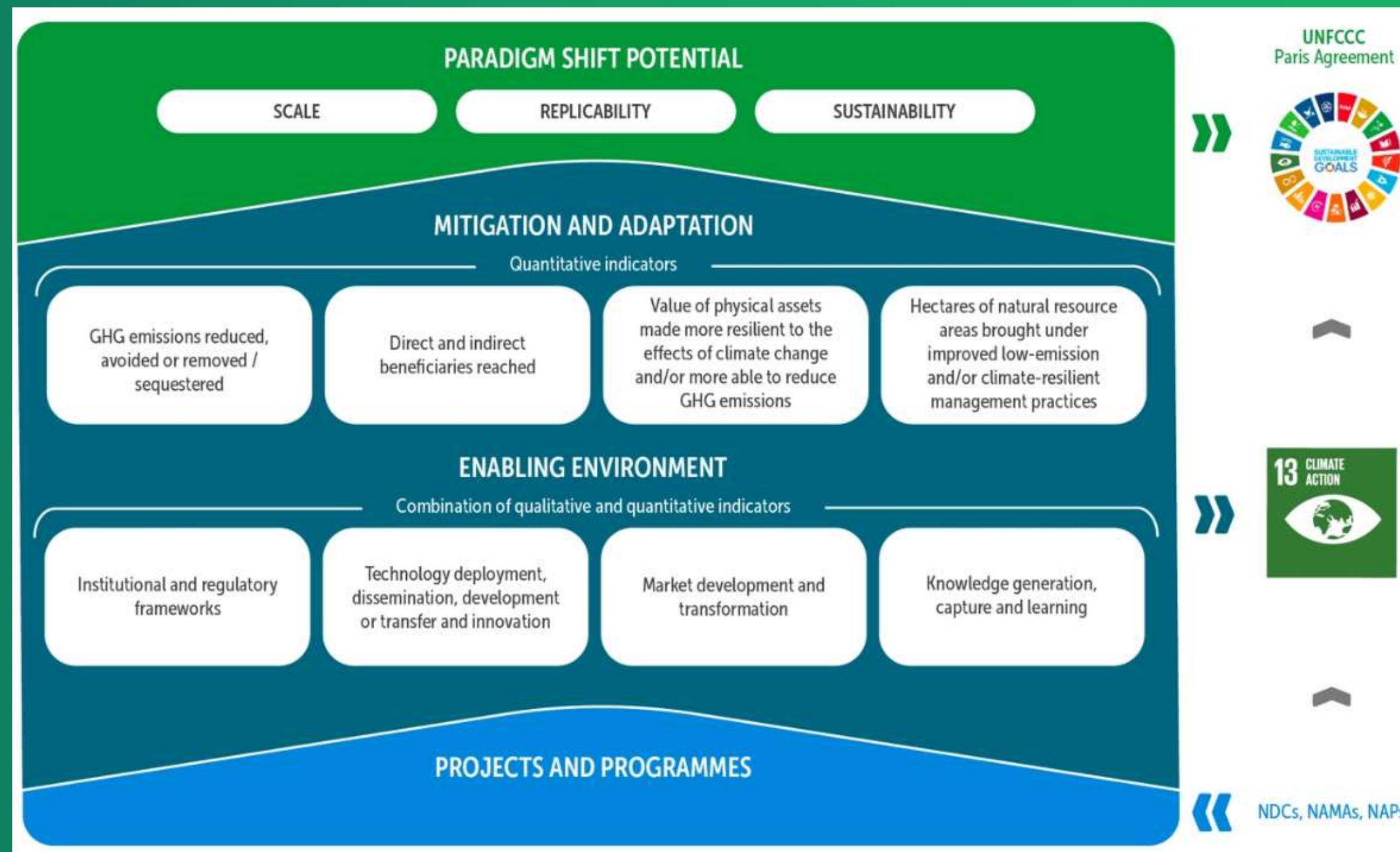




GCF M&E - IRMF

GCF's IRMF is central to project monitoring and evaluation

Using the Logical Framework projects develop indicators that will be monitored and tracked throughout implementation and during the final evaluation

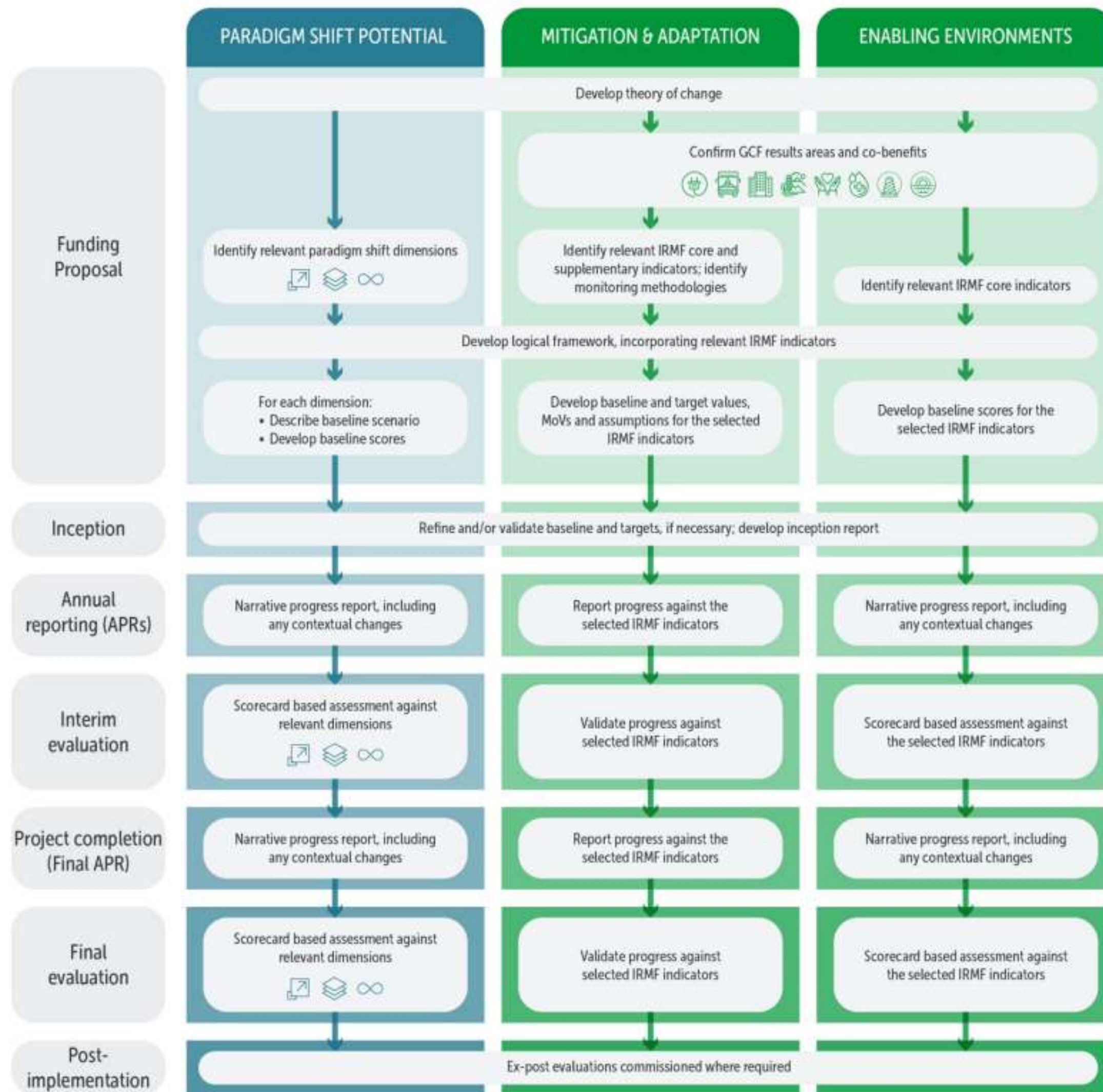




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GCF M&E Applying the IRMF

Source: GCF Draft Results Handbook





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Annual Performance Reports (APRs)

APRs are the responsibility of the AE

Report on project finances, management, workplans, activities, environmental and social safeguards, gender action plans, and all IRMF-related indicators

Narrative report that provides a self assessment of the project's performance including progress, challenges, and lessons

Quantitative data required for IRMF core and supplementary indicators

Updates to indicators must be approved by the Secretariat



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Interim and Final Evaluations

Carried out by independent evaluators

- Some evaluation methodologies can include a participative assessment process that closely involves the project's key stakeholders
- AE's much commission and oversee interim and final evaluations

NDA's and Project Beneficiaries/Stakeholders should participate in interim and final evaluation processes

Evaluations must provide:

- Substantiative assessments of the project's contribution to paradigm shift
- Assessment of the progress against each of the project's selected enabling environment indicators
- Validate the data produced for the monitoring of indicators



Interim and Final Evaluations

GCF has identified seven evaluation criteria:

- Relevance, effectiveness, efficiency, impact and sustainability of projects and programmes
- Coherence in climate finance delivery with other multilateral entities
- Gender equity
- Country ownership of projects and programmes
- Innovativeness in result areas
- Replication and scalability as covered in the scorecard assessment of progress towards paradigm shift
- Unexpected results, both positive and negative



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Key Elements in Evaluation

Evaluations are Objective, Impartial, & Independent!

Project evaluations look at impact, effectiveness, efficiency, sustainability

Stakeholder participation increases credibility and usefulness

Common subjects of evaluation include:

- Relevance: does the project make sense?
- Impact: What is the project changing?
- Effectiveness: Is the project achieving its purpose?
- Efficiency: Do the results justify the resources used?
- Sustainability: Will the impacts continue after the project?
 - Scalability and replicability